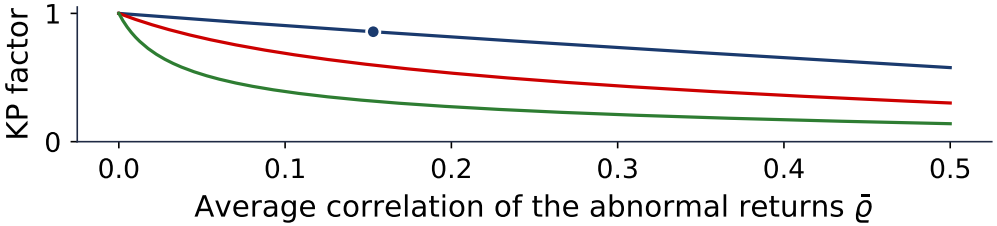
KP factor
1
0
0.0
0.1
0.2
0.3
0.4
0.5
Average correlation of the abnormal returns $\bar{\varrho}$
$N = 2$ firms
$N = 10$ firms
$N = 50$ firms
B9: factor 0.857